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UMC Reports Third Quarter 2022 Results

3Q22 operating income doubles YoY; 22/28 revenue contribution reaches 25%

Third Quarter 2022 Overview[1]:

- **Revenue: NT$75.39 billion (US$2.38 billion)**
- **Gross margin: 47.3%; Operating margin: 40.0%**
- **Revenue from 22/28nm: 25%**
- **Capacity utilization rate: 100%+**
- **Net income attributable to shareholders of the parent: NT$27 billion (US$851 million)**
- **Earnings per share: NT$2.19; earnings per ADS: US$0.345**

Taipei, Taiwan, ROC – October 26, 2022 – United Microelectronics Corporation (NYSE: UMC; TWSE: 2303) ("UMC" or "The Company"), a leading global semiconductor foundry, today announced its consolidated operating results for the third quarter of 2022.

Third quarter consolidated revenue was NT$75.39 billion, increasing 4.6% QoQ from NT$72.06 billion in 2Q22. Compared to a year ago, 3Q22 revenue grew 34.9% YoY from NT$55.91 billion in 3Q21. Consolidated gross margin for 3Q22 reached 47.3%. Net income attributable to the shareholders of the parent was NT$27 billion, with earnings per ordinary share of NT$2.19.

Jason Wang, co-president of UMC, said, "In the third quarter, our results benefited from product mix optimization and a more favorable exchange rate, while fab capacity remained fully utilized. Despite softening demand in consumer end markets, strengths in certain wireless communications areas drove further expansion in our 22/28nm business, which accounted for 25% of overall third-quarter revenue and lifted wafer average selling price. We believe our industry-leading position in OLED display driver ICs will continue to drive growth for our 22/28nm technologies amid growing adoption of OLED panels in smartphones and other end devices. We also saw sustained momentum in our automotive business during the quarter, and we intend to

[1]Unless otherwise stated, all financial figures discussed in this announcement are prepared in accordance with TIFRSs recognized by Financial Supervisory Commission in the ROC, which is different from IFRSs issued by the International Accounting Standards Board. They represent comparisons among the three-month period ending September 30, 2022, the three-month period ending June 30, 2022, and the equivalent three-month period that ended September 30, 2021. For all 3Q22 results, New Taiwan Dollar (NT$) amounts have been converted into U.S. Dollars at the September 30, 2022 exchange rate of NT$ 31.74 per U.S. Dollar.

pursue more collaboration opportunities with existing and potential automotive customers."

Co-president Wang said, "Moving into the fourth quarter, we expect to face headwinds amid demand weakness, impacted by factors including the inflationary environment and Ukraine war. While UMC will not be immune to the inventory correction affecting the industry, we will work closely with our customers as they adjust to current market conditions. At the same time, we will continue to deliver differentiated technology processes to enable customers' product pipelines. We have revised the company's 2022 capital expenditure down to US$3 billion, but our capacity expansions in Tainan and Singapore are still progressing as planned in order to meet long-term supply commitments. Despite near-term turbulences, the structural story of increasing silicon content driven by the rise of 5G, AIoT, and EV remains intact. With our comprehensive technology offering, focus on manufacturing excellence, and resilient financial structure, UMC will further increase our exposure to strong growth markets and consolidate our specialty technology leadership."

Co-president Wang added, "In terms of corporate sustainability, UMC made steady progress towards our goals across all three areas of ESG. Going into 2023, we will accelerate carbon emissions reduction efforts by proactively seeking ways to lower emissions associated with wafer manufacturing and products footprint, working with partners to address emissions from the value chain, as well as investing in net-zero technologies as we strive for net zero by 2050."

Summary of Operating Results

Operating Results					
(Amount: NT$ million)	3Q22	2Q22	QoQ % change	3Q21	YoY % change
Operating Revenues	75,392	72,055	4.6	55,907	34.9
Gross Profit	35,664	33,472	6.5	20,544	73.6
Operating Expenses	(6,794)	(6,706)	1.3	(6,636)	2.4
Net Other Operating Income and Expenses	1,287	1,398	(8.0)	1,227	4.9
Operating Income	30,157	28,164	7.1	15,135	99.3
Net Non-Operating Income and Expenses	2,189	(2,586)	-	4,317	(49.3)
Net Income Attributable to Shareholders of the Parent	26,996	21,327	26.6	17,460	54.6
EPS (NT$ per share)	2.19	1.74		1.43	
(US$ per ADS)	0.345	0.274		0.225	

Third quarter operating revenues increased by 4.6% sequentially to NT$75.39 billion which was partially lifted due to a better product mix as well as favorable foreign exchange rate. Revenue contribution from 40nm and below technologies represented 42% of wafer revenue. Gross profit grew 6.5% QoQ to NT$35.66 billion, or 47.3% of revenue. Operating expenses grew 1.3% to NT$6.79 billion. Net other operating income declined to NT$1.29 billion. Net non-operating income totaled NT$2.19 billion. Net income attributable to shareholders of the parent amounted to NT$27 billion.

Earnings per ordinary share for the quarter was NT$2.19. Earnings per ADS was US$0.345. The basic weighted average number of outstanding shares in 3Q22 was 12,305,516,644, compared with 12,283,479,334 shares in 2Q22 and 12,206,292,756 shares in 3Q21. The diluted weighted average number of outstanding shares was 12,635,661,561 in 3Q22, compared with 12,553,373,552 shares in 2Q22 and 12,411,100,649 shares in 3Q21. The fully diluted shares counted on September 30, 2022 were approximately 12,679,025,000.

Detailed Financials Section

Operating revenues increased to NT$75.39 billion. COGS increased 3.0% to NT$39.73 billion, which included 3.9% sequential increase in other manufacturing costs. Gross profit grew 6.5% QoQ to NT$35.66 billion. Operating expenses increased 1.3% QoQ to NT$6.79 billion, as Sales & Marketing grew 15.9% to NT$1.06 billion while R&D was up 3.0% QoQ to NT$3.30 billion, representing 4.4% of revenue. Net other operating income was NT$1.29 billion. In 3Q22, operating income grew 7.1% QoQ to NT$30.16 billion.

COGS & Expenses

(Amount: NT$ million)	3Q22	2Q22	QoQ % change	3Q21	YoY % change
Operating Revenues	75,392	72,055	4.6	55,907	34.9
COGS	(39,728)	(38,583)	3.0	(35,363)	12.3
Depreciation	(9,622)	(9,616)	0.1	(9,900)	(2.8)
Other Mfg. Costs	(30,106)	(28,967)	3.9	(25,463)	18.2
Gross Profit	35,664	33,472	6.5	20,544	73.6
Gross Margin (%)	47.3%	46.5%		36.8%	
Operating Expenses	(6,794)	(6,706)	1.3	(6,636)	2.4
G&A	(2,428)	(2,579)	(5.9)	(2,119)	14.6
Sales & Marketing	(1,061)	(915)	15.9	(1,212)	(12.5)
R&D	(3,304)	(3,209)	3.0	(3,303)	0.0
Expected Credit Impairment Loss	(1)	(3)	(75.8)	(2)	(68.6)
Net Other Operating Income & Expenses	1,287	1,398	(8.0)	1,227	4.9
Operating Income	30,157	28,164	7.1	15,135	99.3

Net non-operating income in 3Q22 was NT$2.19 billion, primarily reflecting NT$1.29 billion in exchange gain and a NT$0.78 billion in net investment gain.

Non-Operating Income and Expenses

(Amount: NT$ million)	3Q22	2Q22	3Q21
Non-Operating Income and Expenses	2,189	(2,586)	4,317
Net Interest Income and Expenses	139	(163)	(367)
Net Investment Gain and Loss	780	(3,675)	4,534
Exchange Gain and Loss	1,293	1,361	164
Other Gain and Loss	(23)	(109)	(14)

In 3Q22, cash inflow from operating activities was NT$39.70 billion. Cash outflow from investing activities amounted to NT$21.42 billion, which included NT$23.13 billion in capital expenditure, resulting in free cash flow of NT$16.56 billion. Cash outflow from financing reached NT$26.69 billion, primarily from a NT$37.45 billion payment as cash distributed from additional paid-in capital partially offset by a NT$14.44 billion from the increase in deposits-in. Net cash outflow in 3Q22 totaled NT$3.07 billion. Over the next 12 months, the company expects to repay NT$ 4.43 billion in bank loans.

Cash Flow Summary

(Amount: NT$ million)	For the 3-Month Period Ended Sep.30, 2022	For the 3-Month Period Ended Jun. 30, 2022
Cash Flow from Operating Activities	39,696	35,091
Net income before tax	32,346	25,578
Depreciation & Amortization	11,195	11,107
Share of loss (profit) of associates and joint ventures	(328)	2,027
Income tax paid	(652)	(2,913)
Changes in working capital & others	(2,865)	(708)
Cash Flow from Investing Activities	(21,419)	(11,716)
Decrease in financial assets measured at amortized cost	2,070	103
Acquisition of PP&E	(22,466)	(10,907)
Acquisition of intangible assets	(1,080)	(815)
Others	57	(97)
Cash Flow from Financing Activities	(26,688)	(13,423)
Bank loans	(473)	(11,615)
Redemption of bonds	(1,031)	(2,484)
Increase in deposits-in	14,441	864
Cash distributed from additional paid-in capital	(37,446)	-
Others	(2,179)	(188)
Effect of Exchange Rate	5,337	1,601
Net Cash Flow	(3,074)	11,553
Beginning balance	183,723	172,170
Ending balance	180,649	183,723

Cash and cash equivalents slightly decreased to NT$180.65 billion. Days of inventory increased by 4 days to 66 days.

Current Assets			
(Amount: NT$ billion)	3Q22	2Q22	3Q21
Cash and Cash Equivalents	180.65	183.72	113.11
Notes & Accounts Receivable	44.84	42.88	32.99
Days Sales Outstanding	53	51	51
Inventories, net	30.10	27.34	23.15
Days of Inventory	66	62	59
Total Current Assets	266.95	265.78	211.60

Current liabilities decreased to NT$108.01 billion, mainly from the reduction of in other as company distributed cash from additional paid-in capital to shareholders during Q3. Long-term credit/bonds increased to NT$46.15 billion. Total liabilities decreased to NT$204.21 billion, leading to a debt to equity ratio of 65%.

Liabilities			
(Amount: NT$ billion)	3Q22	2Q22	3Q21
Total Current Liabilities	108.01	131.81	84.55
Notes & Accounts Payable	10.04	9.95	8.26
Short-Term Credit / Bonds	12.19	13.22	24.26
Payables on Equipment	19.40	11.60	6.72
Other	66.38	97.04	45.31
Long-Term Credit / Bonds	46.15	45.70	51.09
Long-Term Investment Liabilities	4.26	8.50	8.14
Total Liabilities	204.21	216.51	171.19
Debt to Equity	65%	76%	66%

Analysis of Revenue[2]

Revenue from Asia-Pacific declined to 62% while business from North America was 23% of sales. Business from Europe was 9% while contribution from Japan increased to 6%.

Revenue Breakdown by Region

Region	3Q22	2Q22	1Q22	4Q21	3Q21
North America	23%	22%	22%	21%	22%
Asia Pacific	62%	65%	64%	66%	65%
Europe	9%	8%	8%	7%	7%
Japan	6%	5%	6%	6%	6%

Revenue contribution from 22/28nm grew to 25% of the wafer revenue, while 40nm contribution was 17% of sales.

Revenue Breakdown by Geometry

Geometry	3Q22	2Q22	1Q22	4Q21	3Q21
14nm and below	0%	0%	0%	0%	0%
14nm<x<=28nm	25%	22%	20%	20%	19%
28nm<x<=40nm	17%	18%	18%	18%	18%
40nm<x<=65nm	18%	19%	19%	19%	19%
65nm<x<=90nm	8%	7%	8%	8%	8%
90nm<x<=0.13um	12%	12%	12%	12%	12%
0.13um<x<=0.18um	10%	12%	13%	13%	13%
0.18um<x<=0.35um	8%	8%	7%	7%	8%
0.5um and above	2%	2%	3%	3%	3%

Revenue from fabless customers accounted for 83% of revenue.

Revenue Breakdown by Customer Type

Customer Type	3Q22	2Q22	1Q22	4Q21	3Q21
Fabless	83%	86%	87%	86%	86%
IDM	17%	14%	13%	14%	14%

Revenue from the communication segment represented 45%, while business from computer applications decreased to 14%. Business from consumer applications was 27% as other segments increased to 14% of revenue.

Revenue Breakdown by Application (1)

Application	3Q22	2Q22	1Q22	4Q21	3Q21
Computer	14%	16%	17%	17%	17%
Communication	45%	45%	45%	46%	46%
Consumer	27%	27%	26%	26%	27%
Others	14%	12%	12%	11%	10%

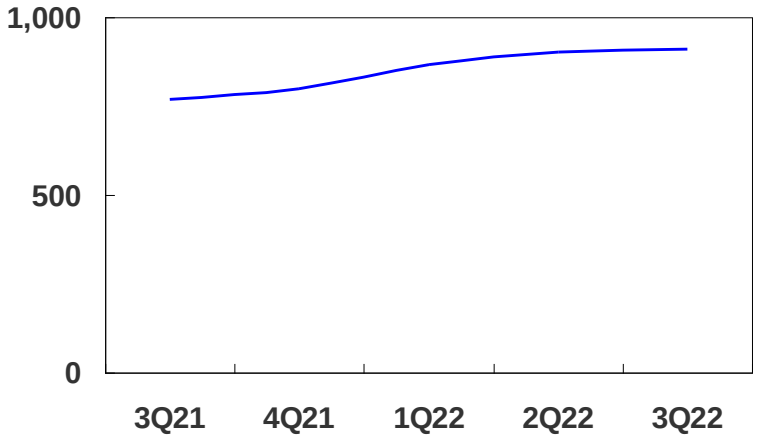
(1) ***Computer*** consists of ICs such as CPU, GPU, HDD controllers, DVD/CD-RW control ICs, PC chipset, audio codec, keyboard controller, monitor scaler, USB, I/O chipset, WLAN. ***Communication*** consists of handset components, broadband, bluetooth, Ethernet, LAN, DSP, etc. ***Consumer*** consists of ICs used for DVD players, DTV, STB, MP3/MP4, flash controller, game consoles, DSC, smart cards, toys, etc.

[2] Revenue in this section represents wafer sales

Blended ASP Trend

Blended average selling price (ASP) grew in 3Q22.

Unit: USD



Shipment and Utilization Rate[3]

Wafer shipments decreased 1% QoQ to 2,597K in the third quarter, while quarterly capacity grew to 2,539K. Overall utilization rate in 3Q22 remained above 100%.

Wafer Shipments

	3Q22	2Q22	1Q22	4Q21	3Q21
Wafer Shipments (8" K equivalents)	2,597	2,622	2,513	2,546	2,503

Quarterly Capacity Utilization Rate

	3Q22	2Q22	1Q22	4Q21	3Q21
Utilization Rate	100%+	100%+	100%+	100%+	100%+
Total Capacity (8" K equivalents)	2,539	2,528	2,420	2,419	2,383

[3] Utilization Rate = Quarterly Wafer Out / Quarterly Capacity

Capacity[4]

Overall capacity in the third quarter increased to 2,539K 8-inch equivalent wafers. Capacity will grow in the fourth quarter of 2022 to 2,543K 8-inch equivalent wafers, reflecting the capacity expansion taking place at 8N.

Annual Capacity in *thousands of wafers*

FAB		Geometry (um)	2021	2020	2019	2018
WTK	6"	5 – 0.15	329	371	370	396
8A	8"	3 – 0.11	755	802	825	825
8C	8"	0.35 – 0.11	459	452	436	383
8D	8"	0.18 – 0.09	380	371	359	347
8E	8"	0.6 – 0.14	457	449	426	418
8F	8"	0.18 – 0.11	514	485	434	431
8S	8"	0.18 – 0.11	408	373	372	372
8N	8"	0.5 – 0.11	917	917	831	771
12A	12"	0.13 – 0.014	1,070	1,044	997	997
12i	12"	0.13 – 0.040	641	628	595	555
12X	12"	0.080 – 0.022	284	217	203	183
12M	12"	0.13 – 0.040	395	391	98	-
Total[(1)]			9,453	9,188	8,148	7,673
YoY Growth Rate			3%	13%	6%	5%

Quarterly Capacity in *thousands of wafers*

FAB		4Q22E	3Q22	2Q22	1Q22
WTK	6"	85	85	84	82
8A	8"	192	192	192	189
8C	8"	115	115	115	113
8D	8"	103	103	103	101
8E	8"	118	118	118	116
8F	8"	138	138	138	136
8S	8"	111	111	111	109
8N	8"	245	242	235	231
12A	12"	301	301	301	267
12i	12"	164	164	164	162
12X	12"	80	80	78	77
12M	12"	110	110	110	108
Total		**2,543**	**2,539**	**2,528**	**2,420**

(1) One 6-inch wafer is converted into 0.5625 ($6^2/8^2$) 8-inch equivalent wafer; one 12-inch wafer is converted into 2.25 ($12^2/8^2$) 8-inch equivalent wafers. Total capacity figures are expressed in 8-inch equivalent wafers.

CAPEX

CAPEX spending in 3Q22 totaled US$764 million. 2022 cash-based CAPEX budget will be US$3.0 billion.

Capital Expenditure by Year - in US$ billion

Year	2021	2020	2019	2018	2017
CAPEX	$ 1.8	$ 1.0	$ 0.6	$ 0.7	$ 1.4

2022 CAPEX Plan

8"	12"	Total
10%	90%	US$3.0 billion

[4] Estimated capacity numbers are based on *calculated maximum output* rather than *designed capacity*. The actual capacity numbers may differ depending upon equipment delivery schedules, pace of migration to more advanced process technologies, and other factors affecting production ramp-up.

Fourth Quarter 2022 Outlook & Guidance

Quarter-over-Quarter Guidance:

- Wafer Shipments: To decrease by approximately 10%
- ASP in USD: To remain flat
- Gross Profit Margin: Will be in the low-40% range
- Capacity Utilization: 90%
- 2022 CAPEX: US$3.0 billion

Recent Developments / Announcements

Aug. 24, 2022	UMC and Cadence Collaborate on Analog/Mixed-Signal Flow for 22ULP/ULL Process Technologies
Sep. 13, 2022	Avalanche Technology and UMC Announce 22nm Production of High-Density MRAM-Based Devices for Aerospace Applications

Please visit UMC's website for further details regarding the above announcements

Conference Call / Webcast Announcement

Wednesday, October 26, 2022

Time: 5:00 PM (Taipei) / 5:00 AM (New York) / 10:00 AM (London)

Dial-in numbers and Access Codes:

USA Toll Free:	1-866 836-0101
Taiwan Number:	02-2192-8016
Other Areas:	+886-2-2192-8016
Access Code:	UMC

A live webcast and replay of the 3Q22 results announcement will be available at www.umc.com under the “Investors / Events” section.

About UMC

UMC (NYSE: UMC, TWSE: 2303) is a leading global semiconductor foundry. The company provides high quality IC production with a focus on both logic and specialty technologies to serve every major sector of the electronics industry. UMC’s comprehensive technology and manufacturing solutions include logic/RF, embedded high voltage, embedded flash, RFSOI/BCD and IATF-16949 automotive manufacturing certification for all its manufacturing facilities. UMC operates 12 fabs that are strategically located throughout Asia with a maximum capacity of approximately 850,000 8-inch equivalent wafers per month. The company employs approximately 20,000 people worldwide, with offices in Taiwan, China, United States, Europe, Japan, Korea and Singapore. For more information, please visit: http://www.umc.com.

Safe Harbor Statements

This press release contains forward-looking statements within the meaning of Section 27A of the United States Securities Act of 1933, as amended, and Section 21E of the United States Securities Exchange Act of 1934, as amended, and as defined in the United States Private Securities Litigation Reform Act of 1995. These forward-looking statements include, but are not limited to, statements regarding anticipated financial results for the third quarter of 2022; the expected wafer shipment and ASP; the anticipated annual budget; capex strategies; environmental protection goals and water management strategies; impact of foreign currency exchange rates; expected foundry capacities; the ability to obtain new business opportunities; and information under the heading "Third Quarter of 2022 Outlook and Guidance."

These forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause the actual performance, financial condition or results of operations of UMC to be materially different from what is stated or may be implied in such forward-looking statements. Investors are cautioned that actual events and results could differ materially from those statements as a result of a number of factors including, but not limited to: (i) dependence upon the frequent introduction of new services and technologies based on the latest developments in the industry in which UMC operates; (ii) the intensely competitive semiconductor, communications, consumer electronics and computer industries and markets; (iii) the risks associated with international business activities; (iv) dependence upon key personnel; (v) general economic and political conditions; (vi) possible disruptions in commercial activities caused by natural and human-induced events and disasters, including natural disasters, terrorist activity, armed conflict and highly contagious diseases; (vii) reduced end-user purchases relative to expectations and orders; and (viii) fluctuations in foreign currency exchange rates. Further information regarding these and other risk factors is included in UMC's filings with the United States Securities and Exchange Commission, including its Annual Report on Form 20-F. All information provided in this release is as of the date of this release and are based on assumptions that UMC believes to be reasonable as of this date, and UMC does not undertake any obligation to update any forward-looking statement as a result of new information, future events or otherwise, except as required under applicable law.

The financial statements included in this release are prepared and published in accordance with Taiwan International Financial Reporting Standards, or TIFRSs, recognized by the Financial Supervisory Commission in the ROC, which is different from International Financial Reporting Standards, or IFRSs, issued by the International Accounting Standards Board. Investors are cautioned that there may be significant differences between TIFRSs and IFRSs. In addition, TIFRSs and IFRSs differ in certain significant respects from generally accepted accounting principles in the ROC and generally accepted accounting principles in the United States.

- FINANCIAL TABLES TO FOLLOW -